

Independent Design Houses in India: Challenges and Keys to Growth

Independent design houses (IDHs) in India need to identify and work with not just large OEMs but also mid-tier and interesting startups. Many a times, new ideas and products come out of startups and it would be in the interest of IDHs to align with these companies to foster growth



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Independent design houses (IDHs) create designs and intellectual property (IP) for multiple clients, leveraging on their core competencies. Sometimes, these make and sell IP components independently. Sometimes, they create the designs commissioned by a client. At times, they work hand-in-hand with captive India design centres (IDCs) of one or more component-makers to, in turn, create

end-products for their clients. In these and many other ways, they try to act as a one-stop shop for their clients' IP and design needs.

Starting an IDH requires a business environment that provides opportunity, talented and skilled human resource that is affordable, and regulatory environment that is conducive. Barring the last one, others are available in India and that's the reason why we see a lot of IDHs catering to various industry needs in India.

Design houses require combination skillset of hardware design, firmware and software design, and product life-cycle knowledge. Since most IDHs have limited resources, preference is to have many 'all-rounders.'

Major customers for IDHs in India

"Major part of revenue for IDHs in India comes from the domestic market. Indian design houses are yet to mature to be able to offer quality services to foreign customers. I see it happening in the next two-three years," informs Hari Nallan, experience strategist, co-founder and CEO, Think Design Collaborative.

Speaking of the overseas market, he adds, "Most of the customers for Indian IDHs come from English-speaking countries. Among them, USA holds the highest rank in terms of percentage contribution to business revenue. It will be difficult (and too fragmented) to discuss percentage share, however, we could say that of 100 per cent revenues from foreign countries, USA contributes about 50 per cent."

Specifically, "Most of the new products are being developed for overseas customers. The majority of customers are based out of North America and EU," says Srinivas Panapakam, general manager-PES Sales and Business Development, Mistral Solutions.

However, there are IDHs catering to customers from other countries as well. Citing the case of Robert Bosch Engineering & Business Solutions (RBEI), R.K. Shenoy, senior vice president, Powertrain Electronics, RBEI,